

SECTION A – CASE QUESTIONS

Answer 1

To : Finance Director
From : Karen Lam, Accounting Manager
Date : dd/mm/yyyy
Subject : Appropriate accounting treatment of SKL

I refer to the query regarding the accounting treatment of SKL in relation to HKFRS 10 *Consolidated Financial Statements*.

(a) SKL is not a subsidiary

Under HKFRS 10 *Consolidated Financial Statements*, an investor controls an investee when "the investor is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee."

In determining whether PHL has control over SKL, the management has to exercise their judgement in considering the relevant facts and circumstances.

When considering whether PHL has power over an investee, paragraph 10 of HKFRS 10 requires the investor to have existing rights that give it the current ability to direct activities that significantly affect the investee's returns ("relevant activities").

Paragraph B6 of HKFRS 10 states that "when an investee's purpose and design are considered, it may be clear that an investee is controlled by means of equity instruments that give the holder proportionate voting rights, such as ordinary shares in the investee. In this case, in the absence of any additional arrangements that alter decision-making, the assessment of control focuses on which party, if any, is able to exercise voting rights sufficient to determine the investee's operating and financing policies. In the most straightforward case, the investor that holds a majority of those voting rights, in the absence of any other factors, controls the investee."

Paragraph 12 of HKFRS 10 specifies that "an investor with the current ability to direct the relevant activities has power even if its rights to direct have yet to be exercised."

The board of directors of SKL consists of seven members: four are nominated by DNL, and three are nominated by PHL. The Chairman of the board is the director nominated by DNL. Based on the composition of the board of directors of SKL, it appears that DNL rather than PHL had the majority vote in the board of directors and may thus have the current ability to direct the relevant activities of SKL that significantly affect the returns of SKL.

The appointment of the Executive Director requires approval from the board of directors over which DNL has control. This means that if the Executive Director disagrees with the Chairman in making the major decisions, DNL is able, through a board meeting, to remove the Executive Director and even appoint another Executive Director so as to exercise its substantive rights on making major decisions.

PHL's representative (Executive Director) is in charge of the daily operations of SKL. However, this fact in itself does not sufficiently lead to consolidation in the absence of other shareholder agreements since DNL has actual control over the board of directors of SKL, and thus has the power to remove PHL's representative as the daily operator.

Moreover, pursuant to SKL's Articles of Association, resolutions in the shareholders' meetings of SKL shall be passed by at least 2/3 majority vote of shareholders, which implies that both PHL (with 65% equity interests) and DNL (with 35% equity interests) have to agree on the matters to be approved at the shareholders' meeting.

As a result, PHL does not have the current ability to direct activities that significantly affect the investee's returns.

Accordingly, PHL had no control over SKL since its establishment in April 2019. Therefore, it is incorrect that PHL took the view that SKL was a subsidiary of PHL in PHL's consolidated financial statements for the year ended 31 March 2020.

(b) SKL is not a financial asset, SKL is an associate

Although SKL should not have been consolidated in PHL's consolidated financial statements, it is questionable whether the investment in SKL should be regarded as a financial asset in PHL's consolidated financial statements.

Pursuant to the Articles of SKL, PHL had voting rights to pass shareholders' resolutions in relation to SKL's business and to nominate three out of seven members to the board of directors of SKL. The withdrawal of support from the Executive Director of SKL did not affect PHL's voting rights over SKL.

While the current Executive Director of SKL withdrew his support and did not act in accordance with the instructions of PHL in relation to the operations of SKL, PHL would have power to nominate a new one who could then become the new representative of PHL to sit on the board of SKL, so as to allow PHL to exercise its voting rights and power to participate in the financial and operating policy decisions of SKL as granted in SKL's Articles.

HKAS 28 *Investment in Associates* defines "significant influence" as "the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies".

SKL should be treated as an associate, instead of simply a financial asset, because PHL should be able to exercise significant influence over SKL.

HKAS 28 requires the reporting entity to use equity method to account for the investment in associates in its consolidated financial statements. Thus, SKL should be included in PHL Group's consolidated financial statements as an associate using equity method since its establishment on 1 April 2019.

I hope the above explanation has answered the question. Please feel free to contact me if you have further queries.

Best Regards,
Karen Lam

Answer 2

(a) Change in functional currency

HKAS 21 *The Effects of Changes in Foreign Exchange Rates* requires each individual entity included in the reporting entity, whether it is a stand-alone entity, an entity with foreign operations (such as a parent) or a foreign operation (such as a subsidiary or branch), to determine its functional currency and measure its results and financial position in that currency.

Functional currency is the currency of the primary economic environment in which the entity operates. KML should determine it by the assessment of factors like the primary currency in which it make sales, cost of sales, labour cost, etc. Therefore, KML has to assess its primary economic environment to find out its functional currency.

Before 1 April 2019, sales purchases, rental and labour costs were all made in IDR and thus IDR is the currency of the primary economic environment in which KML operate, i.e. IDR was KML's functional currency.

As noted in paragraph 13 of HKAS 21, the functional currency of an entity reflects the underlying transactions, events and conditions that are relevant to the entity. Accordingly, once the functional currency is determined, it can be changed only if there is a change to those underlying transactions, events and conditions.

Since 1 April 2019, KML has been required to purchase and sell in USD rather than IDR. Sales and purchases are the primary indicators in determining the functional currency of KML. Thus, on 1 April 2019, KML's underlying transactions and conditions changed, and USD became the currency of the primary economic environment in which KML operates. As KML's functional currency changed, KML had to account for the change of functional currency to USD.

Paragraph 35 of HKAS 21 requires an entity to apply the translation procedures applicable to the new functional currency prospectively from the date of the change when there is a change in an entity's functional currency. There is no restatement of the previous period.

KML should translate all items into the new functional currency (USD) using the exchange rate at the date of the change, i.e. 1 April 2019.

For non-monetary items, the translated amount in USD on 1 April 2019 should be the item's new historical cost. This means that KML will not recalculate at the year-end with the closing rate, if the non-monetary items are kept at historical cost.

During the year ended 31 March 2020, all the transactions should be recorded in the new functional currency, i.e. USD on 31 March 2020, KML needs to:

- Recalculate all monetary assets and liabilities denominated in currencies other than USD to USD using the closing exchange rate on 31 March 2020;
- Keep non-monetary items at their historical rate, if they are being kept at historical cost;
- Recalculate all items of income and expenses in currencies other than USD to USD using the exchange rate at the date of transaction.
- All resulting exchange differences shall be recognised in profit or loss.

(b) Change in presentation currency

Presentation currency is the currency in which KML present its financial statements. The presentation currency is any currency that KML can choose.

Change in presentation currency is treated as a change in accounting policy and is to be applied retrospectively in accordance with HKAS 8. KML presented in IDR before 1 April 2019 and KML plans to present its financial statements in USD starting from 1 April 2019.

Thus, for comparative financial statements (31 March 2019), it is necessary to translate the amounts in IDR (being functional currency of KML on 31 March 2019) to USD using the same exchange rates as if KML had always presented its financial statements in USD.

Specifically, for the comparative financial statements (31 March 2019):

- All assets and liabilities as at 31 March 2019 should be translated from SKL's functional currency (IDR) to presentation currency (USD using the closing rate on 31 March 2019);
- All items of profit or loss and other comprehensive income for the year ended 31 March 2019 should be translated to USD using the rates at the dates of transactions (or using the average rate for the year ended 31 March 2019 as an acceptable approximation) and;
- All resulting exchange differences shall be recognised in other comprehensive income (translation reserves).

Exchange differences arising from the translation of a foreign operation previously recognised in other comprehensive income in accordance with paragraphs 32 and 39(c) of HKAS 21 are not reclassified from equity to profit or loss until the disposal of the operation.

Answer 3

Consolidated statement of cash flows of PHL Group for the year ended 31 March 2020

Cash flows from operating activities

	<u>HKD million</u>	
Profit before tax	473	
Interest expense	31	
Share of profit of associates	(4)	
Depreciation	90	
Goodwill impairment (w1)	12	
Gain on disposal of PPE (84 – 30)	(54)	
	<u>548</u>	
<u>Change in working capital</u>		
Increase in inventory (760 + 60 + ex diff 13 → 950)	(117)	
Increase in trade receivables (440 + 50 + ex diff 28 → 550)	(32)	
Increase in trade payables (300 + 40 + ex diff 23 → 430)	67	
	<u>466</u>	
Interest paid (55 + 31 + ex diff 3 → 73)	(16)	
Tax paid (w2)	(86)	
	<u></u>	<u>364</u>

Cash flows from investing activities

Purchase of non-current assets (w3)	(285)	
Proceeds on disposal of PPE	84	
Net cash paid on acquisition of subsidiary (130 – 25)	(105)	
Dividend received from associate (w4)	2	
	<u></u>	(304)

Cash flow from financing activities

Dividend paid	(45)	
Dividend paid to NCI (w5)	(2)	
Proceed from bank loan (w6)	10	
	<u></u>	(37)
Change in cash and cash equivalents		23
Opening cash and cash equivalents (115 – 8)		107
Closing cash and cash equivalents (250 – 120)		<u>130</u>

<u>(w1) Goodwill</u>	<u>HKD million</u>	
Cost of investment	130	
NCI at acquisition ($20\% \times 85$)	17	
	147	
FV of net assets at acquisition	(85)	
Goodwill at acquisition	62	($130 - 80\% \times 85$)
Goodwill b/f	100	
Goodwill impaired (bal. fig.)	(12)	
Goodwill c/f	150	

<u>(w2) Tax paid</u>	<u>HKD million</u>
Balance b/f ($260 + 40$)	300
Tax (profit or loss)	190
Tax paid (bal. fig.)	(86)
Balance c/f ($347 + 57$)	404

<u>(w3) Property, plant and equipment</u>	<u>HKD million</u>
Balance b/f	800
Translation gain	15
Acquisition of subsidiary	20
Depreciation	(90)
Disposal	(30)
Additions (bal. fig.)	285
Balance c/f	1,000

<u>(w4) Dividends from associates</u>	<u>HKD million</u>
Balance b/f	30
Share of profit of associate (profit or loss)	4
Dividend received (bal. fig.)	(2)
Balance c/f	32

<u>(w5) Non-controlling interest</u>	<u>HKD million</u>
Balance b/f	2
Total comprehensive income	3
Acquisition of subsidiary ($20\% \times 85$)	17
Dividend paid (bal. fig.)	(2)
Balance c/f	20

<u>(w6) Bank loans</u>	<u>HKD million</u>
Balance b/f	170
Acquisition of subsidiary	30
Cash received (bal. fig.)	10
Balance c/f	210

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS

Answer 4(a)(i)

Accounting treatment from the perspective of AL (the issuer):

This contract contains a contractual obligation to transfer cash (repayment of principal and interest), as AL does not have the unconditional right to avoid delivering cash or another financial asset in settlement of that obligation. Therefore, there is a liability element.

At the same time, the contract also carries an option feature where the entity can be required to exchange a fixed amount of cash for a fixed number of its own equity instruments.

Even though the convertible bond is denominated in USD, which is different from AL's presentation currency, the amount of cash exchanged for shares on conversion is fixed in the functional currency of the issuing entity. Therefore, the fixed for fixed test is not failed.

Therefore, the contract also contains an equity element that needs to be separately accounted for from the liability component.

Following the requirements under HKAS 32 *Financial Instruments: Presentation* para. 31 – 32, the entity should:

- (a) Calculate the fair value for the liability component based on similar instruments without the conversions rights; and
- (b) Deduct this from the fair value of the instrument as a whole to leave a residual value for the equity component.

Answer 4(a)(ii)

Accounting treatment from the perspective of LHL (the holder):

Under HKFRS 9 (2014) *Financial Instruments* para. 4.3.2, if a hybrid contract contains a host that is an asset within the scope of the standard, then the classification and measurement requirements under HKFRS 9 should be applied to the entire hybrid contract.

The conversion feature should not be separated, and as a result the contractual terms of the contract as a whole do not give rise solely to payments of principal and interest on the principal amount outstanding on the bond.

The return of the bond is not just consideration for the time value of money and credit risk. It also reflects value of AL's equity.

Therefore, the convertible bond is to be classified as fair value through profit or loss in its entirety.

Answer 4(b)

LHL

According to HKAS 24 *Related Party Disclosures* para. 11(c), providers of finance are not related parties in the context of the standard.

In addition, even if LHL converts the convertible bonds so that it holds ordinary shares in AL, it will not obtain control, joint control or significant influence in the entity.

Therefore, without information indicating otherwise, LHL is not a related party to AL even though it is one of the major subscribers to the convertible bonds.

HJL

According to HKAS 24 para. 11(c), providers of finance are not related parties in the context of the standard. So HJL would not be a related party merely because it extended a loan to AL.

HJL is a joint venture partner with AL. According to HKAS 24 para. 11(b), two joint venturers are not related parties in the context of the standard if they just share joint control of a joint venture.

HJL is controlled by Happy Lo, the brother of Felix Lo. Unless Happy is a dependant of Felix (or the other way round), they would not be considered to be close family members to each other. In that case, based on the information provided, HJL would not be considered to be a related party of AL (HKAS 24 para. 9).

AussieSky

AL exercises joint control over AussieSky. Under HKAS 24 para. 9, when one party is a joint venture of the other party, they are considered to be related parties.

Answer 5(a)

Prior to June 2019, GLD is selling furniture in the form of finished goods manufactured by itself to the chain stores.

Accordingly, HKAS 2 *Inventories* applies.

(i) Staff costs for design

Under HKAS 2 para. 15, other costs are included in the cost of inventories only to the extent that they are incurred in bringing the inventories to their present location and condition. For example, it may be appropriate to include non-production overhead or the costs of designing products for specific customers in the cost of inventories.

On this basis, in general it would appear appropriate to include the staff costs related to design of the product in the cost of inventories.

In respect of the costs incurred in searching of the alternative material to be used, it may be arguable that such costs are necessary in bringing the inventories to their present condition and hence should be included.

However, there is also a possible argument that given the searching is to look for alternative material it is not directly attributable to bringing the inventories to their present condition. In this case, it depends on the nature of the research and the degree of relevance to the final product.

(ii) Financing element

According to HKAS 2 para. 18, when the arrangement effectively contains a financing element, that element is recognised as interest expense over the period of the financing.

Therefore, the difference between the purchase price under normal credit terms and the amount paid should not be included in the cost of inventories.

(iii) Cost of wastage

Under HKAS 2 para. 16(a), abnormal amounts of wasted materials, labour or other production costs should be excluded from the cost of inventories and should be expensed as incurred.

The wastage was not incurred during production, but it was the result of an unusual event.

Accordingly, the write off of the material should be expensed as incurred instead of being included in the cost of inventories.

Answer 5(b)(i)

In determining whether ALL should recognise gross amount of the sales or the margin as its revenue from contracts with customers, we should first of all identify the performance obligations of ALL under the arrangement.

This relates to the business model of the arrangement – whether ALL is selling the smart furniture as a manufacturer, or merely providing assembly, testing and packaging services to GLD.

ALL needs to pay full consideration to the suppliers for the supply of the components and this seems to imply ALL might be bearing inventory risk. This could be an indication that ALL should recognise gross amount of the sales as revenue. On the other hand, the following facts indicate ALL could just be providing assembly, testing and packaging services to GLD in which case recognition of the margin as revenue would be more reflective of the performance obligation to be delivered:

- The complex was built to serve GLD exclusively;
- Staff of GLD are at the site to ensure GLD's standards are adhered to;
- The assembly, testing and packaging have to follow GLD's specific requirements;
- The components of furniture are supplied by GLD's designated suppliers; and
- The finished goods have to be sold to GLD or its designated distributors.
- ALL will be reimbursed by GLD on "cost" plus basis.

Based on the above, subject to further analysis on different factors before arriving at a more solid conclusion, it appears to be more likely that ALL should recognise revenue based on the margin (which represents compensation for providing assembly, testing and packaging services to GLD) instead of based on the gross amount of the sales (thus selling as a manufacturer).

Answer 5(b)(ii)

It might be helpful for us to further investigate the following:

- a) Which party has control over:
- the components before they are delivered to ALL;
 - the components sitting in ALL's premise;
 - work-in-progress; and
 - the finished goods before the smart furniture are delivered.

"Control" is the ability to direct the use of, and obtain substantially all of the remaining benefits from, the goods (or prevent others from doing so). [HKFRS 15 para. 33]

- b) Discretion in pricing

It is also unknown as to how the price of the components and end products to the distributors are determined, whether they are also controlled by GLD.

- c) Primary responsibility to provide specified goods

- Whether ALL is holding out to be the primary obligor in selling GLD's furniture especially in the case where the goods are sold to the distributors designated by GLD.

d) Inventory risks over the components / smart furniture

- Whether ALL would need to or commit to acquire certain number of components before orders are placed by GLD, what would happen if there is excess?
- Whether ALL would have its own discretions in ordering for more components than needed to fulfil GLD's order and whether ALL would be restricted from on-selling of the components to others.
- If ALL assembles more than what is ordered by GLD, what would happen to those excesses.

Answer 6(a)(i)

Depreciation of leasehold improvement

Commencement of depreciation:

According to HKAS 16 *Property, Plant and Equipment* para. 55, depreciation of an asset begins when it is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by management.

I disagree with Felix that depreciation of the leasehold should start on 15 October 2019 when the shop opens.

This goes against the requirements under HKAS 16 para. 55, as the shop was already in the condition necessary for it to be capable of operating in the manner intended by management on 1 September 2019.

Period over which the leasehold improvement should be depreciated:

Felix believed that the leasehold improvement should be depreciated over five years because they have an economic life of five years – to which I disagree.

According to HKAS 16 para. 57, the useful life of an asset is defined in terms of the asset's expected utility to the entity. The asset management policy of the entity may involve the disposal of assets after a specified time or after consumption of a specified proportion of the future economic benefits embodied in the asset. Therefore, the useful life of an asset may be shorter than its economic life.

HKAS 16 para. 56 requires us to consider a number of factors in determining the useful life of an asset, including legal or similar limits on the use of the asset, such as the expiry dates of related leases.

Since the lease term is four years, the leasehold improvements should be depreciated over the remaining lease terms because FC does not have any legal rights to stay longer without signing another contract.

Answer 6(a)(ii)

Relevant impact of the damage and expected compensation payment during the period

Under HKAS 16 para. 65 - 66, compensation from third parties for items of property, plant and equipment that were impaired, lost or given up shall be included in profit or loss when the compensation becomes receivable.

The loss or impairment of the property, plant and equipment is recognised in profit or loss as an expense when it occurs.

The impairments/ losses and payments of compensation from third parties are separate events and should be accounted for separately.

In other words,

- impairments of items of property, plant and equipment are recognised in accordance with HKAS 36;
- derecognition of items retired or disposed of would be determined in accordance with HKAS 16;
- compensation from third parties for items that were impaired, lost or given up is included in determining profit or loss when it becomes receivable; and
- the cost of items restored, purchased or constructed as replacements is determined according to HKAS 16.

Therefore, I disagree with Felix's statement that no impairment/ loss should be recorded in profit or loss, as the impairment/ write off would have been accounted for separately from the compensation payment.

Answer 6(b)

Leasehold improvements

		<u>HKD million</u>	<u>HKD million</u>
Dr	Leasehold improvements	5	
	Cr Cash/ Accounts payable		5

Being recognition of leasehold improvements installed during the year

		<u>HKD million</u>	<u>HKD million</u>
Dr	Depreciation	0.44	
	(HKD 5 million / (48 months – 3 months) x 4 months=\$444,444)		
	Cr Accumulated depreciation		0.44

Being recognition of depreciation from 1 September 2019

		<u>HKD million</u>	<u>HKD million</u>
Dr	Impairment loss - Profit or loss	1.82	
	<i>(HKD 2 million – (HKD 2 million / (48 months – 3 months) x 4) = \$1,822,222</i>		
Dr	Accumulated depreciation	0.18	
	<i>(HKD 2 million / (48 months – 3 months) x 4) = \$177,778</i>		
Cr	Leasehold improvements		2

Being write-off of leasehold improvements damaged by fire in December.

Insurance compensation

No double entries are to be recorded during the year ended 31 December 2019.

* * * END OF EXAMINATION PAPER * * *